

1980s. What he learnt from that experience was the importance of innovation in a commoditised product that involved no technology to speak of and only narrow product differentiation.

“Here the uniqueness came through packaging,” Mariwala says.

If a product category is undifferentiated, it will remain a commodity and cannot address the pain points of customers. Before plastic packaging was introduced, the product tended to freeze during the winters in the tins it was sold in—a pain point that was removed with the switch to plastic.

“Harsh focused on not just marketing and advertising, but on these pain points,” says Saurabh Mukherjea, Chief Investment Officer at Marcellus Investment Managers.

In 1990, Marico came into existence and a few years later, a management separation took place through negotiations with other family members. It set the stage for the company to go public in 1996.

“Life changed,” Mariwala says simply.

Anand Kripalu, managing director of EPL (formerly known as Essel Propack Limited) and earlier head of Diageo India and Cadbury India, says Mariwala may have founded his company with iconic brands, but had been quick to hire professional managers who could manage scale when it expanded.

“Then, he genuinely stepped back and empowered. Harsh ensured a board of top professionals and (took) their views and opinions on all key decisions,” says Kripalu, who was on Marico’s board in 2007-17.

“Harsh brought in the right marketing thinkers to ensure the brands stayed consistent and true to their identity. That is a hallmark of timeless brands,” Kripalu adds.

Samco Securities research analyst Divyam Mour says MDL operates in a specialised segment. “Submarine and warship projects involve immense technological complexity and have high entry barriers,” he says. This placare high-value and high-margin in nature, says Mour.

MAKING IT COUNT

When HUL decided the mid to late 1990s that it wanted to be a dominant hair oil producer and seller, having secured a foothold in the market through the acquisition of Tata Oil Mills Company, Mariwala had been prepared for the offer, couched in the manner of a threat, that came his way from the deep-pocketed multinational.

Many people who knew Mariwala advised him to accept the offer and sell.

He recalls doing his own research and meeting Karanbhai Patel, founder of detergent maker Nirma Indus-



ANAND KRIPALU

MD of EPL Limited and former head of Diageo India and Cadbury India

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SAURABH MUKHERJEA

CIO, Marcellus Investment Managers

“**Mariwala was amongst the first FMCG promoters to enter other Asian countries**”

tries Private Limited, and management guru Ram Charan for advice. Ram Charan told him he must “stay on and protect the resource-generating engine,” says Mariwala.

Marico’s performance took a hit as the bigger rival opened its wallet to gain market share. Eventually, HUL cooled off on the hair oil market, in line with a larger strategy, and put the business on the block.

In early 2006, Marico acquired the coconut hair oil brand Nihar for ₹216 crore from HUL in a competitive bid. The story had come full circle, ending the David-and-Goliath battle on a touch of irony.

Buyouts in the FMCG space may be par for the course, but how many work out is quite another story. Marico has made about 30 acquisitions – both in India and overseas – including four direct-to-consumer brands (Beardo, True Elements, Plix and Just Herbs).

“The success rate globally is around 30% and for us, it is